27 Oct 2026 00:37:21 ET | 14 pages

OPT Machine Vision (688686.SS)

3Q26 Earnings Strong Beat Despite GPM Miss, Upbeat on AI Inspection for 2027

CITI'S TAKE

OPT Machine Vision reported strong 3Q26 results on 26 October with net profit surging 67% YoY to Rmb61mn, beating Visible Alpha consensus by 33% primarily due to: **1)** better-than-expected revenue, although 3Q26 GPM of 56.5% (-1.1pp YoY / -2.7pp QoQ) was 1.9pp lower than consensus estimate, and **2)** cost discipline which lowered OPEX ratio to 41.8% in 3Q26 from 48.8% in 3Q25. By industry, other sectors including semiconductors was the key driver with 121% YoY revenue increase in 3Q26, followed by battery's 64% YoY revenue increase while electronics revenue was relatively flat. As GPM of each industry remained roughly unchanged, we believe the weaker GPM was primarily due to unfavorable product mix change - electronics revenue accounted for only ~35% of 3Q26 revenue vs. ~50% in 3Q25. Looking forward, mgmt. holds a positive 2027 outlook, especially on AI inspection for electronics. Maintain Buy on OPT.

9M26 revenue breakdown by industry — Electronics revenue declined by 1% YoY to Rmb593mn, representing ~43% of 9M26 total revenue. Battery revenue grew by 47% YoY to Rmb379mn, accounting for 27% of total revenue. Semiconductors revenue surged 257% YoY to Rmb202mn in 9M26, being a significant revenue stream with 15% revenue contribution, while auto revenue was up 81% YoY to Rmb66mn. In addition, OPT indicated that AI solution revenue reached Rmb301mn in 9M26, up 157% YoY and representing ~22% of 9M26 revenue.

2027 outlook — Mgmt. guided 50% YoY revenue growth from the Apple (AAPL.O) supply chain (70%-80% of electronics revenue) due to: **1)** Apple's higher capex for 2027 - iPhone's 20th anniversary, **2)** OPT's share gain in Apple's projects due to AI model adoption, and **3)** more AI inspection projects to replace human inspections. Mgmt. expects that if Apple supply chain replaces human inspections with AI inspections, the AI inspection TAM could be 10x OPT's existing Apple business.

Earnings Summary

Year to 31 Dec	Net Profit (RmbM)	Diluted EPS (Rmb)	EPS growth (%)	P/E (x)	P/B (x)	ROE (%)	Yield (%)
2024A	136	1.115	-29.7	133.2	6.2	4.7	0.3
2025A	186	1.522	36.5	97.5	5.9	6.2	0.4
2026E	248	2.023	32.9	73.4	5.6	7.9	0.5
2027E	357	2.910	43.8	51.0	5.2	10.6	0.7
2028E	486	3.967	36.3	37.4	4.7	13.2	1.0

Source: Powered by dataCentral

Buy

Price (26 Oct 26 15:00)	Rmb148.480
Target price	Rmb177.000
Expected share price return	19.2%
Expected dividend yield	0.5%
Expected total return	19.7%
Market Cap	Rmb18,150M US$2,721M

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See Appendix A-1 for Analyst Certification, Important Disclosures and Research Analyst Affiliations

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Physical AI — OPT employs "AI in all" business strategies with two physical AI product focus: **1)** machine vision components for industrial clients - embodied AI bodies and assemblers - and for consumer clients used on data collection, and **2)** AI-enabled inspections. Mgmt. expects total AI solution revenue to reach Rmb400mn-500mn in 2026 and could double 2026 revenue size in 2027.

Implications — We retain our Buy rating on OPT and believe it to be one of the physical AI beneficiaries, together with Yiheda (301029.SZ).

RELATED:

OPT Machine Vision (688686.SS): What's New from China Industrial | SMID | Transport Conf 2026: Bright 2027 on Electronics and AI

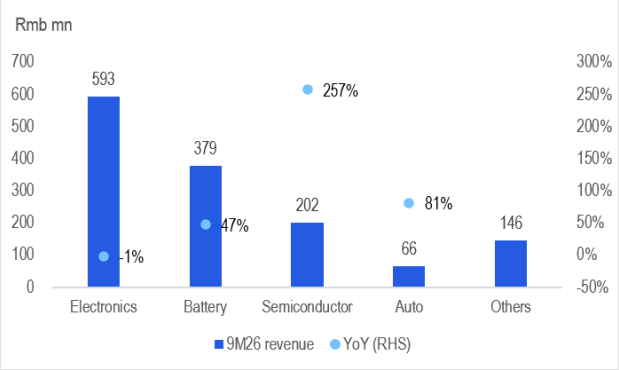
Figure 1. OPT: 3Q26/9M26 results snapshot

Rmb mn	3Q25	2Q26	3Q26A	YoY	QoQ	Consensus	Diff.	9M25	9M26A	YoY
P&L										
Net sales	330	547	482	46%	-12%	415	16%	1,012	1,386	37%
Gross profit	190	324	273	44%	-16%	242	12%	637	802	26%
Operating profit	36	117	72	97%	-39%	41	78%	197	255	30%
Net profit	37	107	61	67%	-43%	46	33%	183	232	27%
EPS (Rmb)	0.300	0.872	0.500	67%	-43%	0.376	33%	1.494	1.895	27%
Margin										
GPM	57.6%	59.2%	56.5%	-1.1pp	-2.7pp	58.4%	-1.9pp	62.9%	57.9%	-5.0pp
OPM	11.1%	21.5%	14.9%	3.9pp	-6.5pp	9.8%	5.2pp	19.4%	18.4%	-1.0pp
NPM	11.1%	19.5%	12.7%	1.6pp	-6.8pp	11.1%	1.6pp	18.0%	16.7%	-1.3pp
Revenue %	**3Q25**	**2Q26**	**3Q26A**	**YoY**	**QoQ**			**9M25**	**9M26A**	**YoY**
Electronics	49.7%	50.0%	34.6%	-15.1pp	-15.4pp			59.3%	42.8%	-16.5pp
EV battery	27.4%	19.6%	30.8%	3.4pp	11.2pp			25.4%	27.3%	1.9pp
Others	22.9%	30.4%	34.6%	11.7pp	4.2pp			15.3%	29.9%	14.6pp
Revenue by industry	**3Q25**	**2Q26**	**3Q26A**	**YoY**	**QoQ**			**9M25**	**9M26A**	**YoY**
Electronics	164	273	167	2%	-39%			600	593	-1%
EV battery	90	107	149	64%	38%			257	379	47%
Others	75	166	167	121%	0%			155	414	168%

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Source: Citi Research, Company Reports, Visible Alpha

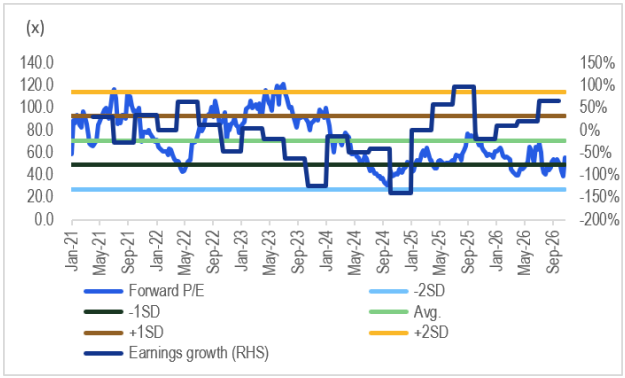
Figure 2. OPT: Revenue by product and YoY growth, 9M26



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Source: Citi Research, Company Reports

Figure 3. OPT: Forward P/E trends vs. earnings growth



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Source: Company Reports and Citi Research Estimates

Bull/Bear: OPT Machine Vision

Rmb 207.000	Rmb 177.000	Rmb 108.000
▲39% Upside	▲19% Upside	▼27% Downside



Spread 67pp
Current Price and expected returns (upside/downside) as of 26 Oct 2026

BULL Assumptions

- Rerate to 71x 2027E P/E due to better demand

BASE Assumptions

- Based on 60x 2027E P/E

BEAR Assumptions

- Derate to 37x 2027E P/E due to weaker demand

OPT Machine Vision

Valuation
Our TP of Rmb177.0 for OPT Machine Vision is based on ~60x 2027E PE, set at -0.5x SD vs. the average P/E since 2020, to reflect OPT's GPM pressure despite continuous earnings recovery.

Risks
Key downside risks that could lead to OPT Machine Vision's stock trading below our target price include: 1) slower-than-expected machine vision demand recovery, 2) weaker-than-expected GPM, and 3) higher-than-expected OPEX resulting in lower net profit.

Dongguan Yiheda Automation
(301029.SZ; Rmb26.33; 1; 26 Oct 26; 15:00)

Valuation
Our target price of Rmb32.0 for Yiheda is based on 33x 2026E P/E, set at 0.5x SD below the stock's five-year mean to reflect its higher OPEX and slight GPM pressure.

Risks
Downside risks that could impede the shares from reaching our target price include: 1) lower-than-expected revenue growth, especially from the new energy-related sectors; 2) weaker-than-expected GPM contraction due to unfavorable product mix changes; and 3) intensifying competition or Yiheda's market share loss.

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Appendix A-1

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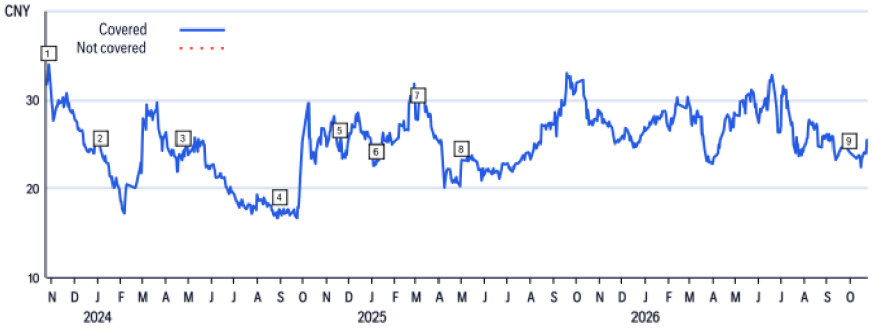
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Dongguan Yiheda Automation (301029.SZ)

Ratings and Target Price History
Fundamental Research

Analyst: Jamie Wang



	Date	Rating	Target Price	Closing Price
1	29-Oct-23 22:46:16	*3	*30.00	34.00
2	07-Jan-24 20:01:51	3	*21.00	24.40
3	24-Apr-24 06:01:06	3	*20.00	24.32
4	30-Aug-24 05:26:28	3	*16.00	17.70
5	19-Nov-24 11:23:25	*2	*28.00	25.27
6	06-Jan-25 22:20:01	*1	28.00	22.86
7	04-Mar-25 12:48:59	1	*34.00	29.27
8	04-May-25 23:04:57	1	*31.00	23.25
9	30-Sep-26 10:04:12	1	*32.00	24.11

*Indicates Change

Rating/target price changes above reflect Eastern Time

OPT Machine Vision (688686.SS)

Ratings and Target Price History
Fundamental Research

Analyst: Jamie Wang



	Date	Rating	Target Price	Closing Price
1	01-May-24 07:26:55	3	*69.00	75.52
2	01-Sep-24 21:09:13	3	*46.00	51.84
3	09-Dec-24 01:26:25	*1	*94.00	69.05
4	20-Aug-25 22:35:03	1	*140.00	119.33
5	13-May-26 02:51:02	1	*142.00	120.56
6	22-Sep-26 12:00:02	1	*177.00	141.15

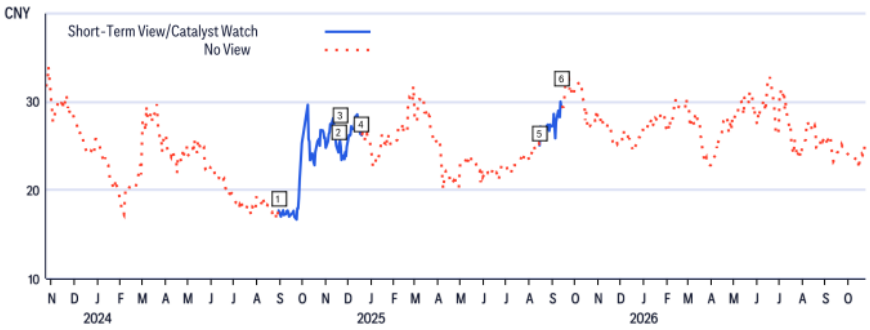
*Indicates Change

Rating/target price changes above reflect Eastern Time

Dongguan Yiheda Automation (301029.SZ)

Short-Term View/Catalyst Watch Research

Analyst: Jamie Wang



	Date	Action	Expected Direction	Duration	Closing Price
1	30-Aug-24 01:26:28	Add STV	Downside	90 Days	17.70
2	19-Nov-24 06:23:25	Remove STV	Downside	90 Days	25.27
3	19-Nov-24 06:23:25	Add CW	Upside	30 Days	25.27
4	19-Dec-24 21:28:33	Remove CW	Upside	30 Days	26.22
5	14-Aug-25 15:34:30	Add STV	Upside	30 Days	25.07
6	12-Sep-25 14:01:34	Remove STV	Upside	30 Days	29.40

CW - Catalyst Watch , STV - Short-Term View

Rating/target price changes above reflect Eastern Time

OPT Machine Vision (688686.SS)

Short-Term View/Catalyst Watch Research

Analyst: Jamie Wang



	Date	Action	Expected Direction	Duration	Closing Price
1	01-Sep-24 17:09:13	Add STV	Downside	90 Days	51.84
2	29-Nov-24 12:28:12	Remove STV	Downside	90 Days	68.37
3	08-Dec-24 20:26:25	Add STV	Upside	90 Days	70.00
4	09-Mar-25 23:14:15	Remove STV	Upside	90 Days	103.65
5	20-Aug-25 18:35:03	Add STV	Upside	30 Days	119.33
6	19-Sep-25 14:18:31	Remove STV	Upside	30 Days	141.30

CW - Catalyst Watch , STV - Short-Term View

Rating/target price changes above reflect Eastern Time

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	12 Month Rating			Catalyst Watch		
Data current as of 01 Oct 2026	**Buy**	**Hold**	**Sell**	**Buy**	**Hold**	**Sell**
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% of companies in each rating category that are investment banking clients	39%	43%	30%	42%	38%	36%

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